

Kestrel Valley Credit Union

POL-004: Overdraft and Courtesy Pay

Policy ID	POL-004
Policy Owner	VP Deposit Operations
Originally Approved	2025-06-17
Last Reviewed	2025-06-17
Next Review Due	2026-06-17
Related Regulations	REG_DD, UDAAP

1. Purpose

This policy sets the standards Kestrel Valley Credit Union (KVCU) follows to comply with Truth in Savings (NCUA Part 707), Unfair, Deceptive, or Abusive Acts or Practices and to treat members fairly.

2. Scope

This policy applies to all employees, volunteers and third parties who handle deposit accounts and fees on behalf of KVCU, at every branch and in digital channels.

3. Definitions

Business day means any day KVCU is open to the public for substantially all business, excluding Saturdays, Sundays and federal holidays. Member means any person with a share account at KVCU.

4. Policy Statement

KVCU will disclose overdraft and courtesy pay fees clearly, limit courtesy pay fees to three per day, and post transactions in an order that does not maximize fees. Management will maintain written procedures that put this policy into practice and will review them at least annually.

Procedures supporting this section are listed in Appendix A of the procedures manual. Procedures supporting this section are listed in Appendix A of the procedures manual. Procedures supporting this section are listed in Appendix A of the procedures manual.

5. Roles and Responsibilities

The VP Deposit Operations owns this policy. Department managers make sure staff are trained. Compliance tests adherence at least once per year and reports results to the Supervisory Committee.

6. Monitoring and Reporting

Exceptions are logged in the GRC system within five business days of discovery. Trends are reported to the Board quarterly.

7. Training

Affected staff complete training within 30 days of hire and annually after that. Completion is tracked in the learning system.

8. Record Retention

Records related to this policy are kept for at least 5 years, or longer if a legal hold applies.

9. Exceptions

Exceptions to this policy require written approval from the VP Deposit Operations and the Chief Compliance Officer.

Approved by the Board of Directors on 2025-06-17. Version history is kept by the Compliance department.